

Choosing the Planning Age (Length of Retirement)

Longevity risk—the risk of running out of assets before running out of time—is fundamental to retirement. We know about the distribution of longevity for the overall population, but an individual cannot know in advance precisely where he or she will fall in the distribution. The length of your retirement could be much shorter or longer than your statistical life expectancy. Half of the population will outlive their median life expectancy—some will live far beyond it. A long life is wonderful, but it is expensive. For how long should you build your retirement plan to last?

In a probability-based world, the available means for an individual to manage longevity risk is to choose a conservative planning horizon for which there is a sufficiently low probability to outlive. This will require spending less so that available assets can be drawn out for a longer period of time. The probability of surviving to advanced ages is low. Individuals must determine how low of spending they are willing to accept today in their effort to plan for a longer life and better ensure that they will not deplete their assets before death.

As a first step to measuring longevity risk, it is important to understand what the data says about mortality and survivorship rates. Different data sources provide different longevity estimates for several key reasons:

1. From what age is life expectancy being measured?

Life expectancy at birth is the most familiar number, though it is of little relevance for someone reaching retirement. If you have reached age sixty-five, then an obvious point to note is that you did not die prior to age sixty-five. As obvious as it might be, this is important information. Your life expectancy conditional upon reaching age sixty-five is not the same as your life expectancy at birth. As you age, your remaining life expectancy increases. The remaining number of years one can expect to live decreases, but not on a one-to-one basis with age. This matter leads individuals to underestimate how long they may live in retirement, and we must keep in mind from which age life expectancy is being measured.